

**FEDERAL MARITIME COMMISSION**  
**Office of Administrative Law Judges**

WAN HAI LINES, LTD. AND WAN HAI LINES (USA) LTD. -  
POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

**DOCKET NO. 21-16**

Served: May 25, 2022

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**ORDER OF:** Erin M. WIRTH, *Chief Administrative Law Judge.*

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**ORDER REQUIRING SUPPLEMENTAL BRIEFING**

On May 2, 2022, Respondents Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. (collectively “Wan Hai”), and the Bureau of Enforcement (“BOE”), filed a joint motion for approval of a proposed settlement agreement by the parties and a joint memorandum in support of the proposed settlement, together with a copy of the settlement agreement (“Settlement Agreement”), seeking approval of the settlement agreement and dismissal of this proceeding with prejudice.

On May 16, 2022, Orange Avenue Express (“OAE”) filed a motion for leave to intervene in this proceeding (“Intervention Motion”). OAE has a pending complaint in Docket No. 21-10 alleging that Hapag-Lloyd violated sections 41102(c), 41104(a)(3), and 41104(a)(8) regarding the return of empty reefer containers. 21-10 Complaint at 2, 4. OAE asserts that several terms in the 21-16 Settlement Agreement “may improperly set forth broad brush standards of conduct that are not in compliance with prior Commission guidance, are violative of the Act and would more appropriately be addressed by a notice of proposed rulemaking, or should otherwise not be part of the Agreement.” Intervention Motion at 2.

Under this proceeding’s expedited deadlines, responses to the motion to intervene were due on May 24, 2022. Not receiving any responses, this morning the Office of Administrative Law Judges emailed the parties. Respondents indicated that they would file an opposition by the end of this week and BOE indicated that it did not intend to respond to the motion to intervene.

In the Settlement Agreement, while Respondents make no admission that they violated section 41102(c), the parties agree that Respondents will pay a civil penalty; cease collection attempts with respect to detention assessed against the shipments enumerated in the OIH; establish policies and practices regarding detention that they allege comport with the requirements of the Commission’s Interpretive Rule on Demurrage and Detention set forth at 46 C.F.R. § 545.5 (“Demurrage and Detention Rule”) and publish the established policies and practices in their website, including instructions for disputing charges and documentation standards; and, train all Respondents’ employees “involved in the billing of detention, demurrage, or per diem or the handling of disputes related thereto,” on the requirements of the Commission’s Demurrage and Detention Rule. Settlement Agreement at 2-5. In exchange, BOE agrees that the Commission will waive its right to bring any further enforcement action against

Respondents regarding any alleged violation of the Shipping Act with respect to Respondents' practices on the billing or assessment of detention or per diem or the processing of disputes from the period of May 18, 2020, to April 22, 2022. Settlement Agreement at 2.

The Commission has routinely held that negotiated settlement agreements should be approved unless the agreements present one of a few defects requiring disapproval. The Commission has consistently adhered to a policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid. Despite the general preference for approval of settlement agreements, the Commission does not merely rubber stamp any proffered settlement. Instead, the Commission typically reviews a settlement to ensure that it does not contravene law or public policy. Such review typically includes evaluating factors to determine that the settlement was not a product of fraud, duress, undue influence, or mistake. The Commission also reviews the terms of settlement agreements to ensure that the terms are fair, reasonable, and adequate. The review process frequently involves a balancing of the likelihood of success on the merits against the cost and complexity of proceeding to final judgment.

*World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing, a.k.a. Johnny Yu – Possible Violations of Section 10 of the Shipping Act of 1984*, Docket No. 09-07, 2010 FMC LEXIS 27 at \*5; 31 S.R.R. 1346, 1350 (FMC 2010) (internal citations omitted).

OAE's motion to intervene raises specific concerns about the settlement agreement, asserting that it does not comply with the requirements of the Demurrage and Detention Rule, section 41102(c), and the Shipping Act. Intervention Motion at 6-10. The undersigned cannot approve a settlement agreement that contravenes law or public policy. Therefore, the parties are required to file a response to the motion to intervene and to supplement their arguments regarding the merits of the settlement agreement.

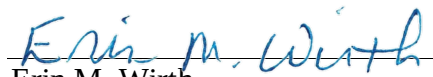
Specifically, the parties should address the requirements in number 5 of the Settlement Agreement, including the sections labeled "Request for a Waiver" and "Evidence of Unavailability." For example, will Respondents be required to provide a list of "each terminal utilized by Way Hai at the relevant port" and if not, how will the shipping public know where containers should be returned? Section 5D requires Wan Hai to "post on its website a *complete list* of locations that it has authorized to accept empty Wan Hai containers" but Section 5C states that "the return location information posted on its website with respect to the return of empty equipment in Los Angeles/Long Beach is *advisory only* and is *not intended to constitute an exhaustive list* of the locations to which a motor carrier may return Way Hai equipment." Settlement Agreement at 4 (emphasis added). This seems contradictory. It is also not clear whether all terminals use an online appointment system, and if not, whether alternative evidence will be acceptable.

In addition, the Settlement Agreement requires screenshots to be "taken not later than three (3) hours following the time at which appointment are made available by the terminal or other facility," however, evidence in a case raising similar issues, Docket No. 21-09, showed that "equipment return information is only available in real time" and that empty return appointments become available throughout the day. Settlement Agreement at 3; 21-09 Initial Decision at

Findings of Fact numbers 35, 91, 100, 113. It is not clear how the shipping public will obtain notice of when each terminal releases appointments to know when the three-hour clock should run or if there is a limit on the number of times a day terminals release appointments. The parties should address whether the proposed resolution creates an unreasonable burden on trucking companies, beneficial cargo owners, and the shipping public.

The other issue raised by OAE is the Settlement Agreement's requirements regarding dual transactions. Intervention Motion at 8-9. The Commission's Detention and Demurrage Rule states that the "Commission is particularly concerned about the reasonableness of dual move requirements, or more specifically, an ocean carrier imposing detention when a trucker's inability to return a container within free time is due to it not being able to satisfy a dual move requirement." 85 FR 29638 (May 18, 2020). The parties must address what is meant by "a statement from the motor carrier that it attempted in good faith to arrange for a dual-transaction" and whether such a requirement is consistent with the Demurrage and Detention Rule.

For the reasons stated above and given the expedited nature of this proceeding, it is hereby **ORDERED** that the parties submit a response to the motion to intervene which supplements their arguments regarding the merits of the settlement agreement by June 1, 2022.

  
Erin M. Wirth  
Chief Administrative Law Judge